

Financial Stability in an Age of Flux



For Prelims: Reserve Bank of India (RBI) , Artificial Intelligence , Carry trades , Non-Performing Assets , Futures & Options

For Mains: Financial Stability and Systemic Risk, Role of RBI in maintaining financial stability, Technology as both an enabler and a source of systemic risk.

Source: TH

Why in News?

The **Reserve Bank of India (RBI) Governor** outlined five key priorities to safeguard financial stability amidst growing global uncertainties. He delivered these remarks at the **5th Kautilya Economic Conclave** held in New Delhi, under the theme “*Resilience in an Age of Flux*” .

Summary

- RBI's five priorities focus on strengthening systemic resilience, identifying new-generation risks, improving granular data, ensuring system-wide resilience, and preserving trust amid financial innovation.
- India faces emerging risks from unsecured retail credit, F&O speculation, fintech and cyber threats, rising funding costs, gold loans and global financial spillovers, requiring stronger macroprudential regulation and shock-absorption capacity.

What are the Five Priorities Outlined by the RBI?

- **Strengthening Systemic Resilience:** The objective is not just to prevent shocks, but to ensure that financial institutions can absorb them and continue providing critical services even under severe stress.
- **Understanding New-Generation Systemic Risks:** Modern risks are increasingly **exogenous, cross-border, and interconnected** .
 - The next financial crisis is more likely to stem from **geopolitical events, cyberattacks** , or

technological failures than from traditional banking channels.

- **Improving Risk Assessment via Granular Data:** The quality of risk assessment depends heavily on the quality of data. There is a need for **less fragmented, highly granular data on non-bank financial intermediaries (NBFIs)**, interconnected exposures, and technology dependencies.
- **Ensuring System-Wide Resilience:** Resilience must extend beyond traditional banks to encompass NBFIs, payment systems, technology infrastructure, and critical third-party networks.
 - As the Governor noted, "**Financial instability anywhere can become a threat to financial stability everywhere.**"
- **Preserving Trust Amidst Innovation:** While innovations like **Artificial Intelligence (AI)** and **tokenisation** can improve efficiency, their adoption must preserve fundamental trust-building properties such as sound institutions, settlement finality, and financial integrity.

Note : The **Kautilya Economic Conclave (KEC)** is a platform for discussing **contemporary economic and policy issues**. It was first organised in **2022** by the **Institute of Economic Growth (IEG)** in partnership with the **Ministry of Finance**.

- It brings together **Indian and international experts** to discuss economic growth, finance, technology, trade, investment and global economic developments.

What are the Emerging Risks to Financial Stability?

Global

- **Elevated Sovereign Debt & Carry Trade Risks:** Advanced economies are facing structurally high **debt-to-GDP ratios** (e.g., the US exceeding 120%), shorter debt maturities, and hardening **bond yields**.
 - For emerging markets (e.g., India, Brazil, Indonesia), this poses a severe **risk of capital outflows** if global investors rapidly unwind "**carry trades**" (borrowing in low-interest currencies to invest elsewhere).
- **The "AI Bubble":** Global financial markets are dangerously top-heavy, propped up by the AI investment cycle.
 - A sudden slowdown in AI capital expenditure or earnings could trigger a **sharp, contagious repricing of assets**, disproportionately threatening economies heavily tied to AI-hardware supply chains (e.g., Taiwan's semiconductor reliance, South Korea's memory chip exports).
- **Rising Leverage in Shadow Banking (NBFIs):** NBFIs such as **hedge funds, ETFs, and private equity firms** have expanded their hidden leverage in equity and bond markets.
 - Tighter financial conditions could rapidly transmit this stress to traditional banks (reminiscent of the UK's 2022 Liability-Driven Investment (LDI) crisis, where shadow leverage nearly collapsed British pension funds).
- **Private Credit Vulnerabilities:** The loosely regulated global private credit market is showing deep signs of stress.
 - High-profile defaults and a rising reliance on '**Payment-In-Kind**' or **PIK arrangements** suggest deteriorating **underwriting and loose lending standards in advanced economies**.
- **Exogenous Shocks & Cyber-Resilience:** Deepening geopolitical fragmentation (e.g., the **West Asia**

conflict disrupting the **Red Sea / Suez Canal** trade corridors, and ongoing **US-China tech decoupling**) and highly sophisticated, AI-driven cyberattacks threaten the core physical and digital infrastructure of the borderless financial system.

India

- **Surge in Unsecured Retail Lending:** While corporate balance sheets have cleaned up, retail debt is surging dangerously. The RBI has expressed deep concern over the unbridled proliferation of unsecured loans (**e.g., algorithmic lending via instant loan apps and buy-now-pay-later schemes**).
 - Delinquency rates (fresh defaults) are disproportionately high among young borrowers under 25 years old. A sudden macroeconomic shock or widespread job loss could trigger a sharp spike in retail **Non-Performing Assets (NPAs)**.
- **Speculative Retail Froth & F&O Frenzy:** Rapid retail participation in **Futures & Options (F&O)** and elevated valuations in some **mid- and small-cap stocks** have emerged as financial-stability concerns.
 - A sharp market correction could lead to **significant retail losses and weaker investor sentiment**.
- **Fintech Dependencies & Cyber Threats:** India's high fintech adoption rate of 87% has increased banks' reliance on third-party digital platforms, creating risks from cyberattacks, data breaches, **API vulnerabilities and technology failures**.
- **Shifting Deposit Mix & Margin Pressure:** The declining share of **low-cost Current Account and Savings Account (CASA) deposits** is forcing banks to rely more on **costlier term deposits**, increasing their funding costs.
 - To maintain **Net Interest Margins (NIMs)**, banks may lend more to **higher-yield but riskier segments**, increasing credit risk.
- **Vulnerability of Gold Loans:** Gold loans have become the largest non-housing retail loan category, growing at a 42.4% CAGR since March 2024.
 - With outstanding loans exceeding Rs 5.14 lakh crore in May 2026, a sharp fall in gold prices could **reduce collateral value and increase credit and recovery risks for banks and NBFCs**.

What Measures are Needed to Safeguard Financial Stability?

- **Deploying Countercyclical Macroprudential Tools:** The RBI must continue enforcing higher **risk weights** on unsecured retail credit and NBFC exposures to curtail irrational credit booms.
- **Curbing Speculative Derivatives (F&O) Trading:** Regulators like SEBI must implement stringent **PAN-level position limits**, monitor delta-adjusted positions, and restrict high-risk **zero-day-to-expiry index options** to protect retail household savings from severe capital erosion.
- **Balancing the Credit-Deposit (C/D) Ratio:** Banks must actively mobilize low-cost **CASA deposits** to correct structural asymmetries and reduce reliance on volatile wholesale funding.
 - Strict compliance with the **Liquidity Coverage Ratio (LCR)** is essential to counter sudden liquidity shocks.
- **Fortifying Cyber-Resilience & Fraud Prevention (MuleHunter.ai):** To combat the rise of AI-driven cyber threats and digital financial fraud, the rapid deployment of tech-governance initiatives like the **Reserve Bank Innovation Hub's (RBIH) MuleHunter .ai** is critical.
- **Adopting World Bank Frameworks:** To insulate against sovereign debt and cross-border liquidity risks, emerging markets must align with the **World Bank Three-Pillar Approach** :

- Accelerating structural reforms for **domestic resource mobilization** .
- Securing external financial support and expanding risk-sharing instruments.
- Utilizing global mechanisms like the **G20 Common Framework** for faster, predictable debt restructuring.
- **Building External Buffers & Rupee Internationalisation:** Maintaining substantial **foreign exchange reserves** buffers the economy against abrupt capital outflows triggered by global carry-trade unwinds.
- Simultaneously, expanding **local currency trade settlements** insulates domestic balance sheets from external monetary volatility.

Conclusion

From shock prevention to shock absorption , India's financial stability framework must evolve with changing risks. With stronger **macroprudential safeguards, cyber resilience and cross-border risk management** , India can ensure that its financial system remains a **silent strength behind sustained economic growth** .

Drishti Mains Question:

"Financial instability anywhere can become a threat to financial stability everywhere." Discuss in the context of India's growing integration with global financial markets.

Frequently Asked Questions

1. What are the RBI's five priorities for financial stability?

They include **systemic resilience, understanding new-generation risks, granular data, system-wide resilience and preserving trust amid financial innovation** .

2. Why are NBFIs important for financial stability?

Growing **interconnectedness of NBFCs, hedge funds, private credit and other NBFIs** can create channels for financial contagion beyond traditional banks.

3. Why is unsecured retail lending a concern for India?

Rapid growth in **personal loans and other unsecured credit** can increase household leverage and **credit-risk exposure** , particularly during economic or employment shocks.

4. How can India strengthen financial stability against cyber risks?

India needs stronger **cyber resilience, third-party risk management, data security, fraud detection and technology-risk supervision** across banks, fintechs and payment systems.

5. What is the significance of macroprudential regulation?

Macroprudential tools , including risk weights, capital and liquidity requirements, help contain **system-wide risks and excessive credit growth** before they threaten financial stability.

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/yRM4KTnK6EU](https://www.youtube.com/embed/yRM4KTnK6EU)]

Prelims

Q. Consider the following statements: (2022)

1. Tight monetary policy of US Federal Reserve could lead to capital flight.
2. Capital flight may increase the interest cost of firms with existing External Commercial Borrowings (ECBs).
3. Devaluation of domestic currency decreases the currency risk associated with ECBS.

Which of the statements given above are correct?

- (a) 1 and 2 only
- (b) 2 and 3 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

Ans: A

Q. Which of the following statements is/are correct regarding the Monetary Policy Committee (MPC)? (2017)

1. It decides the RBI's benchmark interest rates.
2. It is a 12-member body including the Governor of RBI and is reconstituted every year.
3. It functions under the chairmanship of the Union Finance Minister.

Select the correct answer using the code given below:

- (a) 1 only
- (b) 1 and 2 only
- (c) 3 only
- (d) 2 and 3 only

Ans: A

Q. If the RBI decides to adopt an expansionist monetary policy, which of the following would it not do? (2020)

1. Cut and optimize the Statutory Liquidity Ratio
2. Increase the Marginal Standing Facility Rate
3. Cut the Bank Rate and Repo Rate

Select the correct answer using the code given below:

- (a) 1 and 2 only
- (b) 2 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

Ans: B

Mains

Q. What are the causes of persistent high food inflation in India? Comment on the effectiveness of the monetary policy of the RBI to control this type of inflation. (2024)

Q. The product diversification of financial institutions and insurance companies, resulting in overlapping of products and services strengthens the case for the merger of the two regulatory agencies, namely SEBI and IRDA. Justify. (2013)

Over-Regulation of HEIs



Source: TH

Why in News?

The **Viksit Bharat Shiksha Adhishthan (VBSA) Bill, 2025** , currently under legislative review, seeks to execute a structural overhaul of India's higher education system. While it aims to replace a fragmented regulatory regime with a unified framework, it has sparked a critical debate regarding the chronic issue of **over-regulation in Higher Educational Institutions (HEIs)** .

What are the Concerns Regarding Over-Regulation in HEIs?

- **The "Paper Blizzard" vs. Actual Pedagogy:** The current regulatory framework, involving bodies such as the **University Grants Commission (UGC)**, the **All India Council for Technical Education (AICTE)** , and the **National Council for Teacher Education (NCTE)** , has created a system where **external compliance and supervision often take precedence over internal academic integrity** .
 - **HEIs** increasingly focus on meeting regulatory requirements, while faculty spend substantial time preparing documentation and uploading evidence for **annual self-assessment reports** , leaving less time for **research and intellectual inquiry** .
- **Arithmetic of Compliance:** Overlapping and incongruent circulars trap universities in bureaucratic absurdities. For instance, the **UGC Regulations (2018)** mandate a 40-hour work week but require **only five hours of daily physical presence** , converting the profound substance of **teaching into a rigid arithmetic exercise**.
- **Risk Aversion and the Trust Deficit:** The prevailing surveillance creates a severe trust deficit between the state and academicians.
 - Fearing punitive action for technical irregularities, **universities default to "risk aversion,"** where conventional mediocrity becomes the safest survival strategy.
- **The "Regulatory Paradox" (The Success of INIs):** The strongest counter-evidence against intensive regulation lies within India itself. Premier institutions like the **IISc, IITs, IIMs, and IISERs** consistently achieve global excellence precisely because they **operate outside the standard regulatory apparatus** , enjoying the freedom to design curricula and direct resources autonomously.
- **Concerns Regarding the VBSA Bill, 2025:**
 - **Threat to "Islands of Excellence":** There is widespread apprehension that bringing high-performing

Institutes of National Importance (INIs) such as the IITs and IIMs under the broad VBSA umbrella might dilute the very operational autonomy that made them successful.

- **Federal Friction (Concurrent List Issue):** Education is a **Concurrent List subject (Article 246)**. State governments argue that replacing multiple bodies with a single, heavily centralized mega-regulator encroaches upon federal principles and reduces the autonomy of State Universities.
- **The "Digital Divide" in Compliance:** The new system relies heavily on **technology-driven, end-to-end digital reporting**. Resource-constrained rural and state-funded universities may struggle to compete with elite private institutions under these uniform, data-heavy performance metrics.

Key Provisions of the VBSA Bill, 2025

- **A Unified Apex Body:** The VBSA Bill aims to dismantle the archaic inspection-raj, drawing directly from the vision of the **National Education Policy (NEP) 2020**.
 - It replaces three legacy regulators with a single statutory umbrella commission, the Viksit Bharat Shiksha Adhishthan (VBSA), comprising one Chairperson and not more than 12 members.
- **Separation of Functions:** To prevent the concentration of power, the VBSA will operate through three independent autonomous councils:
 - **Regulatory Council:** Focuses on governance, compliance, and facilitating graded autonomy.
 - **Accreditation Council:** Transitions the system to a technology-driven, outcome-based accreditation ecosystem.
 - **Standards Council:** Defines national learning outcomes, curricular standards, and credit-transfer frameworks.
- **Separation of Funding:** Unlike the UGC, the **VBSA will have no grant-disbursal powers**. Funding will remain with the **Ministry of Education** to prevent conflicts of interest.
- **Exclusions:** Medical and Legal education are explicitly excluded and will remain under their respective professional statutory councils.
- **Stringent Deterrence:** The Bill introduces massive financial penalties (up to Rs 2 crore) for fraudulent institutions and unauthorized degree-granting bodies.

What Measures can Ensure Effective Higher Education Regulation?

- **Realizing the Kothari Commission's Vision of Autonomy:** The foundational **Kothari Commission (1964-66)** strongly advocated that universities must be granted absolute autonomy in academic and administrative affairs to foster innovation.
 - The VBSA must honor this by ensuring that legislative frameworks include explicit carve-outs, protecting the hard-won independence of Institutes of National Importance (INIs) like the IITs and IIMs.
- **Adopting the "ONOD" Framework:** To end the gruelling "**evidence blizzard**" and compliance fatigue, regulators should swiftly implement the **Dr Radhakrishnan Committee's** (2024) recommendation of a "**One Nation One Data**" (**ONOD**) system.
 - This unified, technology-driven platform would capture institutional data seamlessly, eliminating overlapping inspections by multiple agencies.

- **Shifting to International Accreditation Standards:** Aligning with global best practices (such as the **Washington Accord** or the **European Association for Quality Assurance**), the **Accreditation Council** must transition from *input-based metrics* (measuring building size or attendance records) to *outcome-based evaluations* (assessing critical thinking, employability, and peer-reviewed research impact).
- **Enforcing "Light but Tight" Regulation:** The VBSA must strictly adhere to the NEP 2020 mandate, intervening decisively to curb commercialization and financial fraud, but remaining entirely "hands-off" regarding academic, pedagogical, and recruitment decisions.
- **Upholding Cooperative Federalism:** True regulatory success depends on Centre-State synergy. Establishing an independent appellate tribunal and ensuring equitable State representation within the VBSA's governance structure is critical to preventing unilateral executive overreach by the Centre.

Conclusion

Structural reform alone cannot deliver academic excellence. India's higher education system must move from **compliance-driven regulation to trust-based autonomy** , empowering universities to foster **independent inquiry, research and innovation** .

Drishti Mains Question:

Excessive regulation can transform accountability into compliance and weaken academic innovation. Discuss in the context of India's higher education system.

Frequently Asked Questions

1. What is the VBSA Bill, 2025?

It proposes a **unified higher education regulatory framework** , replacing multiple regulatory bodies with an apex body supported by three specialised councils.

2. What are the three councils proposed under the VBSA framework?

The **Regulatory Council, Accreditation Council and Standards Council** would separately handle regulation, accreditation and academic standards.

3. How does the VBSA Bill seek to reduce regulatory conflicts?

Unlike the UGC, the proposed **VBSA will not have grant-disbursal powers** , separating **regulation from funding** .

4. Why is institutional autonomy important in higher education?

Greater **academic and administrative autonomy** enables universities to promote **innovation, independent research, curriculum flexibility and intellectual inquiry** .

5. What is the significance of One Nation One Data (ONOD)?

ONOD seeks to create a **unified digital data system** for higher education, reducing **duplicative reporting, inspections and compliance burden** on institutions.

UPSC Civil Services Examination, Previous Year Questions

Prelims

Q. Consider the following statements: (2018)

1. As per the Right to Education (RTE) Act, to be eligible for appointment as a teacher in a State, a person would be required to possess the minimum qualification laid down by the concerned State Council of Teacher Education.
2. As per the RTE Act, for teaching primary classes, a candidate is required to pass a Teacher Eligibility Test conducted in accordance with the National Council of Teacher Education guidelines.
3. In India, more than 90% of teacher education institutions are directly under the State Governments.

Which of the statements given above is/are correct?

- a) 1 and 2
- b) 2 only
- c) 1 and 3
- d) 3 only

Ans: (b)

Mains

Q. National Education Policy 2020 is in conformity with the Sustainable Development Goal-4. It intends to restructure and reorient the education system in India. Critically examine the statement. **(2020)**

Q. The quality of higher education in India requires major improvements to make it internationally competitive. Do you think that the entry of foreign educational institutions would help improve the quality of higher and technical education in the country? Discuss. **(2015)**

India's Journey Towards Universal Literacy



Source: PIB

Why in News?

India's progress in literacy has come into focus as the **country continues efforts to achieve**

universal literacy and strengthen foundational education.

- Building on this progress, the **National Education Policy (NEP) 2020** seeks to address remaining gaps through greater **emphasis on foundational literacy and numeracy, equitable access to education, and development of a skilled** and future-ready workforce.

What is Literacy?

- **Definition:** The Department of School Education and Literacy, Ministry of Education, defines literacy as the ability to **read, write and compute with comprehension** , along with skills such as **digital and financial literacy** .
- **Full Literacy Benchmark:** A State or Union Territory achieving **95% literacy** is considered equivalent to **full literacy** .
- **UNESCO Definition:** **UNESCO** views literacy as the ability to **read, write, use numbers and digital tools** to solve problems and participate effectively in work, learning and life.
- **Developmental Significance:** Literacy is a **foundational human right** and enables **equality, inclusion, economic participation and access to other rights** .
- **India's Progress:** India's literacy rate has risen substantially from **14% in 1947** , with female literacy increasing from **8%** , reflecting significant progress in expanding educational access.
- **Policy Framework:** The **National Education Policy (NEP) 2020** seeks to transform education and build a **skilled, adaptable and future-ready population** .

Measuring Progress in Literacy and Education

- **Literacy Growth:** India's literacy rate increased from **18.32% in 1951 to 74.04% in 2011** . Male literacy rose from **27.15% to 82.14%** , while female literacy increased from **8.86% to 65.46%** .
- **Rural-Urban Gap:** Urban literacy reached **84.1%** and rural literacy **67.8%** in 2011. Between 2001 and 2011, rural female literacy increased by **26%** , compared with 10% for rural males.
- **Recent Literacy Trends:** According to **PLFS 2025** , the overall literacy rate was **81.1%**. **Among persons aged 7 years and above , urban literacy stood at 89%** , compared with **77.4% in rural areas** .
- **Gender Gap:** Among the population aged 7 years and above, male literacy was **93.1% in urban areas and 84.8% in rural areas** , while female literacy was **84.8% and 70.3%** , respectively.
- **School Enrolment:** According to **UDISE+ 2025-26** , school enrolment exceeded **24.72 crore students** , reflecting the continued expansion of access to school education.
- **Gross Enrolment Ratio:** GER stood at **42.8% at the Foundational, 91.7% at the Preparatory, 89.6% at the Middle and 71.7% at the Secondary stage** .
- **Dropout and Retention:** Dropout rates were **1.8% at Preparatory, 3.6% at Middle and 7.0% at Secondary stage** , while retention declined from **98.5% at Foundational to 51.9% at Secondary stage** .
- **Educational Transition:** Transition rates were **99.2% from Foundational to Preparatory, 93.8% from Preparatory to Middle and 88.3% from Middle to Secondary stage** .
- **Higher Education Expansion:** Higher education enrolment increased from **3.42 crore in 2014-15 to 4.50 crore in 2023-24** , while GER rose from **23.7% to 30%** .
- **Higher Education Out-turn:** The number of students passing out of higher education institutions increased from **88.28 lakh in 2014-15 to over 1.09 crore in 2023-24** .

- **Equity and Inclusion:** Participation of **women, SCs, STs and other disadvantaged groups** has increased, reflecting wider access to higher education.
- **NEP 2020 Target:** The expansion in higher education participation supports the **NEP 2020 target of 50% higher education GER by 2035** .

What are the Key Government Initiatives for Advancing Literacy?

ULLAS - Nav Bharat Saaksharta Karyakram

- **Target Group:** **ULLAS** , or the **New India Literacy Programme (NILP)** , is a centrally sponsored scheme for adults aged **15 years and above** who missed formal schooling.
- **Core Focus:** It promotes **functional literacy, numeracy, critical life skills and lifelong learning** , supporting social integration and participation in national development.
- **Community Participation:** With the vision '**Jan Jan Saakshar**' , ULLAS promotes **volunteerism and Janbhagidari** to achieve universal literacy.
- **Hybrid Learning:** The programme uses a **hybrid learning approach** through the **ULLAS App** , which provides learning materials in **27 languages** .
- **Implementation:** Learners and potential volunteers are identified through district- and block-level surveys, with participation from **school teachers, civil-society workers, ASHA workers, Anganwadi workers** and other community stakeholders.
- **Assessment and Certification:** Learners develop foundational literacy and numeracy skills and subsequently appear for the **Foundational Literacy and Numeracy Assessment Test (FLNAT)** for evaluation and certification.
- **Progress and Impact:** For **2022-27** , ULLAS targets **5 crore learners** with an outlay of **₹1,037.90 crore** . Around **4.03 crore learners** and **52.20 lakh volunteers** are registered, while more than **3.3 crore learners** have participated in FLNAT.
- **Full Literacy:** Between **2024 and 2026** , **10 States/UTs** declared themselves fully literate under the programme, including **Ladakh, Mizoram, Goa, Tripura, Himachal Pradesh, Chandigarh, Andaman & Nicobar Islands, Sikkim, Uttarakhand and Jammu & Kashmir** .

NIPUN Bharat and Other School Education Initiatives

- **NIPUN Bharat:** Launched in **July 2021** under **Samagra Shiksha** , **NIPUN Bharat** aims to achieve **universal foundational literacy and numeracy by 2026-27** , focusing on children aged **3-8 years** and foundational skills by **Grade 2** .
- **Samagra Shiksha:** The scheme promotes **equitable and inclusive quality education** , foundational learning, teacher development and vocational integration. It subsumes **Sarva Shiksha Abhiyan (SSA), Rashtriya Madhyamik Shiksha Abhiyan (RMSA) and Teacher Education (TE)** and is aligned with **SDG 4** .
- **PM SHRI** : The scheme aims to strengthen more than **14,500 exemplar schools** , focusing on **holistic, inclusive and joyful learning** while addressing diverse backgrounds, multilingual needs and varied learning abilities.
- **PM e-VIDYA** : It integrates **digital, online and on-air education** to provide multi-mode learning access and is expected to benefit nearly **25 crore school-going children** .
- **PM POSHAN** : The centrally sponsored scheme provides **hot cooked meals** to **11.20 crore students**

in Bal Vatika and Classes I–VIII across **10.36 lakh government and government-aided schools** , supporting **nutrition, enrolment and retention** .

Conclusion

India's literacy strategy has evolved from expanding basic reading and writing abilities to creating an ecosystem of **foundational learning, adult education, digital literacy and lifelong learning** . Initiatives such as **NEP 2020, ULLAS and NIPUN Bharat** , supported by Samagra Shiksha, PM SHRI, PM e-VIDYA and PM POSHAN, seek to improve access, equity and learning outcomes. Together, they contribute to building a **literate, skilled and empowered population** , supporting inclusive and sustainable development and the vision of **Viksit Bharat** .

Drishti Mains Question

Literacy is no longer limited to the ability to read and write but has become a foundation for social inclusion, economic participation and sustainable development. Discuss in the context of India's literacy initiatives.

Frequently Asked Questions (FAQs)

Q1. How is literacy defined by the Department of School Education and Literacy?

Literacy is defined as the ability to read, write and compute with comprehension, along with critical life skills such as digital and financial literacy.

Q2. What percentage of literacy is considered equivalent to full literacy for a State or UT?

The Department of School Education and Literacy considers **95% literacy** in a State or Union Territory equivalent to full literacy.

Q3. What was India's literacy rate in 1951 and 2011?

India's literacy rate increased from **18.32% in 1951 to 74.04% in 2011** .

Q4. What is the overall literacy rate according to PLFS 2025?

The overall literacy rate was **81.1%** for the population covered by the survey.

Q5. What is ULLAS?

ULLAS, or the **New India Literacy Programme** , is a centrally sponsored initiative for adults aged 15 years and above who missed formal schooling.

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UPSC Civil Services Examination Previous Year Questions (PYQs)

Prelims

Q. Which of the following provisions of the Constitution does India have a bearing on Education? (2012)

1. Directive Principles of State Policy
2. Rural and Urban Local Bodies
3. Fifth Schedule
4. Sixth Schedule
5. Seventh Schedule

Select the correct answer using the codes given below:

- (a) 1 and 2 only
- (b) 3, 4 and 5 only
- (c) 1, 2 and 5 only
- (d) 1, 2, 3, 4 and 5

Ans- (d)

Mains

Q1 . How have digital initiatives in India contributed to the functioning of the education system in the country? Elaborate on your answer. **(2020)**

Q2 . Discuss the main objectives of Population Education and point out the measures to achieve them in India in detail. **(2021)**

National Coastal Mission 2.0



Source: PIB

Why in News?

Recently, the Union Environment Minister launched the implementation Guidelines for **National Coastal Mission 2.0 (NCM 2.0)** in New Delhi.

What are the Key Facts About National Coastal Mission 2.0?

- **About:** National Coastal Mission 2.0 (NCM 2.0) is a **Central Sector Scheme** with an approved outlay of ₹767 crore for 2025-26 to 2030-31, aligned with the Finance Commission award period.
 - It has been formulated as the **consolidated framework for climate-resilient coastal management**, ecosystem restoration and sustainable livelihoods, subsuming the earlier **NCM** from 16th May 2025.
- **Background:** The Mission builds on **India's Blue Economy vision**, earlier National Coastal Mission initiatives, the World Bank-assisted pilot project on **Integrated Coastal Zone Management (ICZMP)**, and the **Conservation and Management of Mangroves and Coral Reefs scheme**.
- **Vision:** It seeks to conserve and **protect coastal and marine ecosystems** while promoting inclusive development, climate resilience and sustainable utilisation of coastal resources to unlock India's Blue Economy potential.
- **Objectives:** Major objectives include climate adaptation and mitigation, conservation of mangroves, brackish-water wetlands and coral reefs, pollution control, sustainable livelihoods, capacity building, Integrated Coastal Zone Management Plans (ICZMPs) and **Coastal Marine Spatial Plans (CMSPs)**.
- **Five Components:** The Mission covers Climate Resilient Blue Economic Growth; Coastal Vulnerability and Risk Reduction; Climate Change Adaptation with mitigation co-benefits; Capacity Building and Outreach; and Committed Liabilities and Project Management.
- **Geographical Coverage:** It covers nine coastal States—Gujarat, Maharashtra, Goa, Karnataka, Kerala, Tamil Nadu, Andhra Pradesh, Odisha and West Bengal—and four UTs—Dadra and Nagar Haveli and Daman & Diu, Andaman & Nicobar Islands, Puducherry and Lakshadweep.
- **Expected Outcomes:** NCM 2.0 envisages ICZMPs and CMSPs for 1,000 km of priority coastline, cumulative vulnerability assessment of India's coastline, restoration of coral reefs, **mangrove restoration** in the Andaman & Nicobar Islands, improved coastal water quality, green shoreline infrastructure, eco-friendly tourism and conservation of coastal mammals.
- **Significance:** The Mission aims to reduce coastal vulnerability to erosion, flooding, and salinity ingress; strengthen institutional capacity and community livelihoods; and support sustainable **Blue Economy** - led development in line with Atmanirbhar Bharat, Blue Economy Vision 2047, and Viksit Bharat.

Frequently Asked Questions (FAQs)

Q1. What is National Coastal Mission 2.0?

National Coastal Mission 2.0 is a Central Sector Scheme aimed at strengthening the resilience and sustainability of India's coastal regions and supporting the Blue Economy.

Q2. What is the approved outlay of NCM 2.0?

The Mission has an approved outlay of ₹767 crore.

Q3. Till when will NCM 2.0 be implemented?

NCM 2.0 will be implemented till 2030-31.

Q4. Which areas are covered under NCM 2.0?

The Mission covers 9 coastal States and 4 Union Territories.

Q5. What are the major focus areas of NCM 2.0?

Its major focus areas include coastal vulnerability assessment, ecosystem restoration, pollution management, biodiversity conservation, sustainable tourism, spatial planning, research and capacity building.

[Watch Video on YouTube:

▶ <https://www.youtube.com/embed/HQPGZSVqInU>

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UPSC Civil Services Examination Previous Year Questions (PYQs)

Mains

Q1. Explain various types of revolutions, that took place in agriculture after the Independence of India. How have these revolutions helped in poverty alleviation and food security in India?

Q2. Define the Blue Revolution, explain the problems and strategies for pisciculture development in India. (2018)

Birth Anniversary of Shyamji Krishna Varma



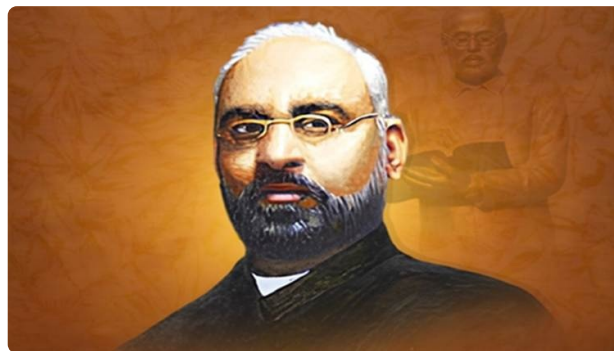
Source: PIB

The Prime Minister paid homage to revolutionary and freedom fighter **Shyamji Krishna Varma** on his birth anniversary on **4th October 2026** .

- **Early Life & Education:** Born on **4 th October 1857, in Mandvi, Kutch District (Gujarat)** . He was a scholar of Sanskrit and became the **first non-Brahmin to be conferred the prestigious title of**

'Pandit' by the Pandits of Kashi.

- **Arya Samaj Connection:** He was profoundly influenced by [Swami Dayanand Saraswati](#) and became the **first President of the Bombay Arya Samaj** in 1877.
- **Professional Milestones:** Served as the Diwan (Chief Minister) in the princely states of **Ratlam, Ajmer, and Junagadh** .
- **Launch of 'The Indian Sociologist':** In January 1905, he started an English monthly journal, "**The Indian Sociologist**", in London, which became a powerful ideological vehicle for anti-colonial propaganda and nationalist ideas.
 - Shyamji Krishna Varma was barred from practising law in London in 1905 for anti-colonial writings by the Inner Temple (one of the four historic Inns of Court in London, serving as a professional association and training body for barristers and judges), later reinstated posthumously in 2015.
- **Formation of the Indian Home Rule Society:** In February 1905, he inaugurated the **Indian Home Rule Society** in London.
 - He was one of the earliest Indian political leaders to use the term "**Swaraj**" (**Self-Rule**) and demand complete independence from British despotism.
- **Establishment of 'India House':** To shelter Indian students facing racial discrimination in England, he founded '**India House**' in London (1905).
 - This hostel rapidly transformed into a vibrant hub for revolutionary activities, nurturing iconic freedom fighters like [Vinayak Damodar Savarkar](#), [Madam Bhikaji Cama](#), and [Virendranath Chattopadhyaya](#) .
- **Final Years:** In response to British criticism, he transitioned from England to Paris and subsequently settled in Geneva during **World War I**, where he remained until his death on **30 th March 1930**.
 - A memorial called **Kranti Teerth** dedicated to him was built and inaugurated in 2010 near Mandvi.



Read More: [Shyamji Krishna Verma](#)

India Attends SCO Meeting in Pakistan



A senior Indian diplomat visited Pakistan to attend the **Shanghai Cooperation Organisation (SCO) Council of National Coordinators** meeting. This marks the first official visit by an Indian delegation to Pakistan since the recent military confrontations ([Operation Sindoor](#)) .

- **Obligation as a Member State:** After assuming the [SCO presidency at the Bishkek Summit](#) , Pakistan is hosting the organisation's meetings during **2026-27** . As a **full member of the SCO** , India's participation is both a **diplomatic and institutional commitment** .
 - Attending SCO meetings enables India to remain engaged in the organisation's decision-making processes and maintain situational awareness.
- **About:** The SCO is a 10-member Eurasian grouping comprising India, China, Russia, Pakistan, Iran, Belarus, Kazakhstan, Kyrgyzstan, Tajikistan and Uzbekistan, with Pakistan currently holding the rotating Chairmanship.
- **Pakistan's SCO Chairmanship:** Pakistan announced the theme **"Turning Vision into Action: Connectivity, Innovation and Shared Prosperity"** and will host the SCO Council of Heads of State Summit in August 2027.
- **Takeaways for India:**
 - **Diplomatic Balancing:** India's participation helps monitor Pakistan's agenda and counter any misuse of the **SCO platform on PoK and Kashmir** .
 - **Future India-Pakistan Engagement:** The meeting can help assess the possibility of **future high-level diplomatic engagement** , including a potential Prime Ministerial visit to Pakistan.
 - **Managing the China Challenge:** Engagement through the SCO can help India maintain stability on its western front while focusing greater attention on the **China border challenge** .



Read more: [26th SCO Summit 2026](#)

Framework Governing Foreign Nationals in India



Source: TH

The Delhi High Court ruled that possessing a valid Indian visa does not grant a **foreign national** an absolute, inherent, or **legally enforceable right** to enter the country. The judgment was delivered after a Turkmenistan citizen, holding a valid business visa, was denied entry due to adverse intelligence inputs regarding her travel history.

- **Sovereign Function & Absolute Discretion:** The Court held that issuing a visa, refusing entry, and providing immigration clearance are core **sovereign functions** based on national security, foreign policy, and administrative discretion.
 - Relying on the Supreme Court's landmark ruling in ***Hans Muller of Nurenburg v. Superintendent, Presidency Jail (1955)***, the Court reiterated that the Central Government holds absolute, unlimited power to regulate the entry of or expel foreigners.
- **Visa vs. Entry:** A visa is merely a conditional authorization. Earning a visa at an embassy does not guarantee admission; the final, binding decision rests entirely with immigration officers at the port of entry.
- **No Enforceable Right:** The Court clarified that since there is no legally enforceable right for a foreigner to enter India, a denial of entry cannot be challenged under **Article 226** (Writ Jurisdiction).
 - The judgment explicitly cited ***Louis De Raedt v. Union of India (1991)*** to affirm that a foreigner's fundamental rights are confined to **Article 21 (Protection of Life and Personal Liberty)**. The right to reside and settle in India under **Article 19(1)(e)** is exclusively reserved for Indian citizens.
- **Rejection of Article 14 Claim:** The Court also rejected claims that denying the petitioner entry while allowing her husband violated **Article 14 (Right to Equality)**.
 - The authorities proved that the two were not similarly situated, as "adverse intelligence inputs" were specific only to the petitioner.
- **Governing the Entry and Stay of Foreigners :**
 - **The Immigration and Foreigners Act, 2025: Section 3** requires a valid passport and visa, but explicitly permits the State to deny entry on grounds of national security, sovereignty, foreign relations, or public health.
 - **Section 7** authorizes the Central Government to broadly prohibit, regulate, or restrict the entry and presence of foreigners.
 - Under the **Immigration and Foreigners Rules, 2025**, foreigners with visas valid for over **180 days** must register before the 180-day stay limit if they wish to continue staying. **Extensions will now be allowed only in emergent circumstances.**
 - **Immigration Officer Authority:** The law empowers border immigration officers to independently examine documents, demand additional information, and make the final determination regarding entry.

Mumbai's Jawahar Dweep Becomes India's 1st Plastic-Free Oil Terminal



Source: PIB

Mumbai Port Authority declared the **Jawahar Dweep Marine Oil Terminal** plastic-free during **Swachhata Abhiyan 2026**, making it **India's first plastic-free oil terminal**.

- **Objective:** The initiative seeks to **reduce single-use plastic** and strengthen cleanliness and waste-management practices across Mumbai Port's docks, residential colonies and coastal areas.
- **Oil Spill Response:** The **Oil Spill Response (OSR) facilities** were also dedicated to the nation during the programme.
- **Terminal Profile:** Jawahar Dweep Marine Oil Terminal handles crude oil and petroleum products; its fifth jetty, JD5, was completed in December 2020 and is 470 m long, with capacity to berth vessels carrying up to 1.5 lakh tonnes of cargo.
- **Expansion Plans:** Mumbai Port's Masterplan 2047 proposes a sixth oil berth at Jawahar Dweep with about 22 MTPA capacity for large Suezmax-class vessels, along with terminal modernisation and related infrastructure upgrades.
- **Significance:** The development reflects Mumbai Port's effort to combine cleaner port operations, environmental preparedness and capacity expansion with long-term maritime modernisation.

Read More: [Oil Spills](#)